Absorbing Transition DID Results: School 985 — Upgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		-0.001		-0.007		0.016
		(0.016)		(0.012)		(0.016)
× Voluntary Rotation		0.002		0.000		0.002
		(0.006)		(0.005)		(0.006)
Pooled	-0.001		0.000		0.000	
	(0.005)		(0.004)		(0.005)	
Mandatory − Voluntary		-0.003		-0.007		0.014
Difference p-value		0.874		0.551		0.418
Observations	45,235	40,169	45,235	40,169	45,235	40,169
Firms	5,344	5,081	5,344	5,081	5,344	5,081
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		-0.023**		-0.015***		-0.009
		(0.011)		(0.005)		(0.010)
× Voluntary Rotation		-0.003		-0.001		-0.002
		(0.011)		(0.008)		(0.009)
Pooled	-0.007		-0.003		-0.003	
	(0.010)		(0.007)		(0.008)	
Mandatory − Voluntary		-0.020		-0.014		-0.007
Difference p-value		0.184		0.143		0.580
Observations	30,693	28,767	30,693	28,767	30,693	28,767
Firms	3,298	3,265	3,298	3,265	3,298	3,265
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		-0.010		-0.015		0.004
		(0.016)		(0.011)		(0.016)
× Voluntary Rotation		0.004		0.001		0.004
		(0.005)		(0.004)		(0.005)
Pooled	-0.002		-0.001		-0.002	
	(0.004)		(0.003)		(0.004)	
Mandatory − Voluntary		-0.014		-0.016		0.000
Difference p-value		0.422		0.152		0.984
Observations	49,647	44,184	49,647	44,184	49,647	44,184
Firms	5,602	5,359	5,602	5,359	5,602	5,359
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		-0.003		-0.009		0.010
		(0.015)		(0.011)		(0.015)
× Voluntary Rotation		0.004		0.002		0.004
		(0.005)		(0.004)		(0.005)
Pooled	0.000		0.001		0.000	
	(0.004)		(0.003)		(0.004)	
Mandatory − Voluntary		-0.008		-0.011		0.006
Difference p-value		0.630		0.363		0.713
Observations	51,515	45,941	51,515	45,941	51,515	45,941
Firms	5,602	5,392	5,602	5,392	5,602	5,392
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.